Blurt sheet - Unit 3.6 Human resource management

AQA A-LEVEL BUSINESS 7132

3.6.1 HR objectives

- **HR objectives named by AQA:** employee engagement and involvement, talent development, training, diversity, alignment of values, number, skills and location of employees
- **Employee engagement:** how committed staff are to the business and its goals
- **Talent development:** identifying and developing staff with potential
- **Diversity:** a workforce that reflects different backgrounds
- **Alignment of values:** staff share the values of the business
- **Number, skills and location:** having the right people in the right place
- **Influences:** corporate objectives, labour market, legislation, budget

3.6.1 Hard and soft HRM

- **Hard HRM:** staff treated as a resource to be used efficiently; short-term contracts, tight control
- **Soft HRM:** staff treated as valuable assets; development, involvement, long-term view
- **Hard HRM benefits:** lower costs, flexibility
- **Hard HRM drawbacks:** low morale, high labour turnover
- **Soft HRM benefits:** motivation, loyalty, retention
- **Soft HRM drawbacks:** costly, slower decisions
- Choice depends on the type of work, skills needed and culture

3.6.2 HR data

- **Labour turnover:** number leaving ÷ average number employed × 100
- **Labour retention:** staff with a year or more of service ÷ staff employed a year ago × 100
- **Labour productivity:** output ÷ number of employees
- **Employee costs as % of turnover:** employee costs ÷ revenue × 100
- **Labour cost per unit:** labour costs ÷ units of output
- **High labour turnover costs:** recruitment, training, lost output
- **Using the data:** compare over time, with rivals and with the industry

3.6.3 Organisational structures

- **Structures named by AQA:** functional, product-based, regional, matrix
- **Functional:** organised by department, e.g. marketing, finance
- **Product-based:** organised by product or brand
- **Regional:** organised by geographical area
- **Matrix:** staff report to both a functional and a project manager
- **Matrix benefits:** flexible, shares expertise; drawbacks: confusion over who is in charge
- **Choice of structure:** size, range of products, markets, culture

3.6.3 Organisational design

- **Authority:** the right to make decisions
- **Span of control:** number of people a manager is directly responsible for
- **Levels of hierarchy:** number of layers of management
- **Tall structure:** many levels, narrow spans; slower communication
- **Flat structure:** few levels, wide spans; faster communication, more delegation
- **Delegation:** passing authority down to a subordinate
- **Centralisation:** decisions made at the top
- **Decentralisation:** decisions made lower down or locally

3.6.3 Human resource flow

- **Human resource plan:** forecasts the number and skills of staff needed and how to get them
- **Recruitment:** attracting and selecting new staff, internally or externally
- **Training:** induction, on the job, off the job
- **Redeployment:** moving staff to other jobs within the business
- **Redundancy:** job ends because it is no longer needed
- **Dismissal:** for misconduct or poor performance
- **Value:** right people in place when needed

3.6.4 Motivation and Taylor

- **Benefits of motivated and engaged staff:** higher productivity, better quality, lower labour turnover and absence
- **Taylor (scientific management):** workers motivated mainly by money
- **Taylor:** one best way to do each task, found by measuring and timing work
- **Taylor methods:** break jobs into simple tasks, close supervision, pay by output (piece rate)
- **Where Taylor fits:** simple, repetitive, measurable work
- **Criticism:** ignores social and psychological needs; jobs become boring

3.6.4 Maslow and Herzberg

- **Maslow's hierarchy:** physiological, safety, social (love and belonging), esteem, self-actualisation
- **Maslow:** once a lower need is met, the next level motivates
- **Trap:** the point is the hierarchy, not just the list of five levels
- **Herzberg motivators:** achievement, recognition, responsibility, advancement, the work itself
- **Herzberg hygiene factors:** pay, working conditions, company policy, supervision, job security
- **Hygiene factors:** prevent dissatisfaction but do not motivate
- **Trap:** Herzberg treats pay as a hygiene factor, not a motivator

3.6.4 Financial methods of motivation

- **Methods named by AQA:** piece rate, commission, salary schemes, performance-related pay
- **Piece rate:** paid for each unit produced
- **Commission:** payment linked to sales made
- **Salary:** fixed annual pay, paid monthly
- **Performance-related pay (PRP):** bonus or pay rise linked to meeting targets, often set at appraisal
- **Trap:** PRP is not the same as piece rate
- **Influences on choice:** type of work, how easily output can be measured, cost, culture

3.6.4 Non-financial methods of motivation

- **Methods named by AQA:** empowerment, team working, flexible working, job enrichment, job rotation
- **Empowerment:** giving staff authority to make decisions
- **Team working:** staff work in groups with shared responsibility
- **Flexible working:** choice over hours or place of work
- **Job enrichment:** more responsibility and more challenging tasks
- **Job rotation:** moving between tasks at a similar level
- **Influences on choice:** skills of staff, type of work, cost, management style

3.6.5 Employee involvement and representation

- **Employee involvement:** giving staff a say in decisions
- **Trade union:** organisation representing workers, e.g. in collective bargaining over pay
- **Works council:** group of staff and managers that discusses issues affecting the workforce
- **Collective bargaining:** negotiation between employers and representatives of a group of workers
- **Benefits of involvement:** better decisions, motivation, less resistance to change
- **Drawbacks:** slower decisions, cost of consultation

3.6.5 Communication and good relations

- **Communication with employees:** e.g. meetings, intranet, email, newsletters
- **Barriers to communication:** too many levels, poor channels, jargon, attitudes
- **Value of good relations:** fewer disputes, lower turnover, easier change, better productivity
- **Causes of poor relations:** poor communication, low pay, job insecurity, lack of involvement
- **Effective communication:** two-way, clear and timely
- Good employer-employee relations help when the business needs to change